

Notes: Claessens, Djankov, Fan, and Lang (JF, 2002)
Disentangling the Incentive and Entrenchment Effects of Large Shareholdings

Contents

1	Big picture	1
2	Incremental contribution of the paper	1
3	Research question and hypotheses	2
3.1	Hypothesis 1: Incentive alignment	2
3.2	Hypothesis 2: Entrenchment	2
4	Data and measurement	2
4.1	Sample	2
4.2	Ownership and control	2
4.3	Firm value	3
5	Empirical design	3
5.1	Baseline valuation regressions	3
5.2	Alternative wedge specifications	3
5.3	Robustness tests	3
6	Tables and figures	4
6.1	Sample composition and ownership concentration	4
6.2	Valuation patterns across countries and industries	5
6.3	Graphical evidence: incentives and entrenchment	5
6.4	Main regression evidence and group-level robustness	6
6.5	Country-level and owner-type evidence	7
6.6	Owner-type continuation and mechanisms of separation	8
7	Key mechanisms and interpretation	8
7.1	Why cash-flow rights can increase firm value	8
7.2	Why excess control can reduce firm value	8
7.3	Why East Asia is informative	8
8	Limitations	9
9	Short summary	9
10	Conclusion	9

1 Big picture

This paper asks how concentrated ownership affects firm value when the largest shareholder has both cash-flow rights and control rights. The key distinction is that large shareholders can create value through stronger monitoring and incentive alignment, but they can also destroy value when control rights exceed cash-flow rights and allow extraction of private benefits.

Main finding

The paper's central result is that **firm value increases with the cash-flow ownership of the largest shareholder, but decreases when control rights exceed cash-flow ownership**. This is the paper's evidence for two opposing forces:

- **Incentive effect:** larger cash-flow ownership gives the controlling shareholder more reason to increase total firm value.
- **Entrenchment effect:** larger control rights relative to cash-flow ownership allow the controlling shareholder to extract private benefits at the expense of minority shareholders.
- The empirical setting is East Asia, where concentrated ownership, pyramids, cross-holdings, family control, and separation of voting rights from cash-flow rights are common.
- The strongest value discount appears when the control-ownership wedge is large, especially above the median separation among firms with separation.

Interpretation: concentrated ownership is not simply good or bad. The value effect depends on whether ownership gives the controlling shareholder cash-flow incentives to maximize value or control power to expropriate minority investors.

2 Incremental contribution of the paper

1. **Separates incentive and entrenchment effects directly.** Prior work often studies ownership concentration as one variable. This paper separates cash-flow rights from control rights to identify two opposing channels.
2. **Uses East Asia as a powerful empirical setting.** East Asian corporations often have large ultimate owners and large wedges between control and ownership, which makes the incentive-entrenchment distinction empirically visible.
3. **Builds ultimate ownership chains.** The paper traces ultimate owners through pyramids, cross-holdings, and dual-class shares instead of relying only on immediate shareholdings.
4. **Connects ownership structure to market valuation.** It shows that the market discounts firms when control rights exceed cash-flow rights, consistent with agency costs from minority-shareholder expropriation.
5. **Tests robustness across groups, economies, owner types, and mechanisms.** The paper checks whether the results are driven by business groups, specific countries, family control, state control, pyramiding, cross-holdings, or dual-class shares.

3 Research question and hypotheses

The paper studies the valuation consequences of large shareholders in countries where ownership is concentrated and investor protection can be weak.

3.1 Hypothesis 1: Incentive alignment

When the largest shareholder owns more cash-flow rights, the shareholder bears more of the cost of poor decisions and captures more of the benefits of better governance. Therefore, firm value should increase with the largest shareholder's cash-flow ownership.

3.2 Hypothesis 2: Entrenchment

When the largest shareholder controls more votes than cash-flow rights, the shareholder can exercise control while bearing only part of the economic consequences. This creates incentives to tunnel resources, transfer benefits to related firms, or otherwise extract private benefits. Therefore, firm value should fall as the control-ownership wedge increases.

4 Data and measurement

4.1 Sample

The sample contains **1,301 publicly traded corporations** from eight East Asian economies: Hong Kong, Indonesia, South Korea, Malaysia, the Philippines, Singapore, Taiwan, and Thailand. The data are for 1996. The paper excludes Japanese firms, financial firms, and regulated utilities.

4.2 Ownership and control

The authors trace ultimate ownership and control. A firm is widely held if no owner has at least 10 percent control rights. Ultimate owners are classified as families, the state, or widely held corporations and financial institutions.

- **Cash-flow rights:** the largest shareholder's economic ownership claim.
- **Control rights:** the largest shareholder's voting control, measured using the weakest link in the ownership chain.
- **Control minus ownership:** the central wedge variable, equal to voting control minus cash-flow rights.
- **Mechanisms:** the paper separately records pyramiding, cross-holdings, and dual-class shares.

4.3 Firm value

Firm value is measured using the **market-to-book ratio of assets**. Market value equals the market value of common stock plus the book value of debt and preferred stock. Book assets come from firms' balance sheets.

5 Empirical design

5.1 Baseline valuation regressions

The main regression relates firm value to the largest shareholder’s ownership and control wedge:

$$\text{Market-to-book}_i = \alpha + \beta_1 \text{Ownership}_i + \beta_2 (\text{Control}_i - \text{Ownership}_i) + \Gamma X_i + \varepsilon_i.$$

The controls include sales growth, capital spending over sales, firm age, firm size, and industry dummies. The main predictions are $\beta_1 > 0$ and $\beta_2 < 0$.

5.2 Alternative wedge specifications

The paper also replaces the continuous wedge with two dummy variables: whether control exceeds ownership and whether the separation is above the median among firms with any separation. This tests whether the valuation penalty appears mainly when the control-ownership wedge is large.

5.3 Robustness tests

The paper then checks whether the results hold after collapsing firms within business groups, estimating country-by-country regressions, splitting by owner type, and adding dummy variables for pyramids, cross-holdings, and dual-class shares.

6 Tables and figures

6.1 Sample composition and ownership concentration

Table I
The Sample of Publicly Traded East Asian Corporations by Economy and Industry

This table shows the distribution of sample corporations across industries and economies. The source of the data is Claessens, Worldscope, and *Asian Company Handbook* (1998). The industrial classification is based on Campbell (1996). Industries are defined as petroleum (SIC 13, 29), consumer durables (SIC 25, 30, 36, 37, 50, 55, 57), basic industry (SIC 10, 12, 14, 24, 26, 28, 33), food and 1, 2, 9, 20, 21, 54), construction (SIC 15, 16, 17, 32, 52), capital goods (SIC 34, 35, 38), transportation (SIC 40, 41, 42, 44, 45, 47), utilities (SIC 46, 48), textiles and trade (SIC 22, 23, 31, 51, 53, 56, 59), services (SIC 72, 73, 75, 76, 80, 82, 87, 89), and leisure (SIC 78, 79). The sample excludes financial companies (SIC 60-69) and regulated utilities (SIC 49).

Industry	Hong Kong	Indonesia	Korea, Rep. of	Malaysia	Philippines	Singapore	Taiwan	Thailand	Number
Petroleum	1	1	12	4	6	3	1	1	29
Consumer durables	57	17	59	17	7	44	29	29	259
Basic industry	10	24	55	22	14	16	24	12	177
Food and tobacco	13	21	20	17	18	18	15	11	133
Construction	22	4	44	49	11	14	14	16	174
Capital goods	22	12	35	8	3	21	16	6	123
Transportation	19	4	6	10	1	12	6	5	63
Unregulated utilities	5	5	3	3	6	4	1	5	32
Textiles and trade	43	33	35	15	6	9	17	10	168
Services	7	7	4	15	3	15	4	7	62
Leisure	26	4	8	11	2	20	2	8	81
Total	225	132	281	171	77	176	129	110	1,301
Percentage of total	17.3	10.1	21.6	13.1	5.9	13.5	9.9	8.5	100.0

Table I. Sample of East Asian corporations by economy and industry.

Read:

- Table I shows the sample distribution: 1,301 firms across eight East Asian economies and 11 nonfinancial industry groups.
- Korea has the largest number of firms, followed by Hong Kong, Singapore, and Malaysia.
- Table II shows how concentrated control is. At the 10 percent cutoff, only 4 percent of firms are widely held.
- Families are the dominant ultimate owner type at the 10 percent cutoff, controlling 68 percent of the sample.
- At higher cutoffs, many firms become classified as widely held, showing that control is concentrated but often below 40 percent.

Economic message: East Asia is an ideal setting for studying controlling shareholders because most firms have an identifiable ultimate owner and many firms use ownership structures that

Table II

Control of East Asian Corporations by Owner Type and Economy, 1996 (Percentage of Corporations in the Sample)

Data for 1,301 publicly traded corporations (excluding financial institutions, SIC 60–69, and regulated utilities, SIC 49), based on Worldscope, supplemented by information from the *Asian Company Handbook* (1998). All data are as of December 1996 or the end of fiscal 1996. To determine effective control at any intermediate as well as ultimate level, a cutoff level of 10 percent was used in all empirical analyses. Above that level, the largest shareholder is assumed to have effective control over the intermediate or final corporation. The 20 percent and 40 percent cutoff levels are also used here to show the distribution of large ownership across economies and owner types. The percentages in the last four columns sum to 100, subject to rounding.

Economy	Number of Firms in Sample	Percentage of Firms with Dispersed Control	Percentage of Firms with Ultimate Control		
			Family-owned	State-owned	Owned by a Widely Held Corporation or Financial Institution
10 percent cutoff for effective control of the largest shareholder					
Hong Kong	225	0	72	3	24
Indonesia	132	1	73	9	17
Korea, Rep. of	281	13	73	2	12
Malaysia	171	1	75	12	12
Philippines	77	4	51	3	43
Singapore	176	1	55	29	15
Taiwan	129	5	59	2	35
Thailand	110	1	72	5	21
Total	1,301	4	68	8	20
20 percent cutoff for effective control of the largest shareholder					
Hong Kong	225	8	69	1	23
Indonesia	132	6	70	8	16
Korea, Rep. of	281	41	52	0	7
Malaysia	171	11	70	11	9
Philippines	77	19	45	1	34
Singapore	176	9	53	24	14
Taiwan	129	29	47	1	24
Thailand	110	6	68	5	20
Total	1,301	18	60	6	16
40 percent cutoff for effective control of the largest shareholder					
Hong Kong	225	72	20	0	8
Indonesia	132	50	35	5	10
Korea, Rep. of	281	94	5	0	1
Malaysia	171	80	13	2	5
Philippines	77	83	8	1	8
Singapore	176	71	17	5	8
Taiwan	129	93	5	1	1
Thailand	110	53	35	4	8
Total	1,301	77	16	2	5

Table II. Control of corporations by owner type and economy.

separate control from cash-flow rights.

6.2 Valuation patterns across countries and industries

Table III
Valuations of East Asian Corporations by Economy and Industry, 1996 (Market-to-Book Ratio)

The market-to-book ratio is the ratio of the market value of assets to the book value of assets at the end of 1996. Market value is defined as the sum of the market value of common stock and the book value of debt and preferred stock. The book value of assets comes from firms' balance sheets. All corporations, including those without an ultimate controlling owner, are included. Industries are defined as follows: petroleum (SIC 13, 29), consumer durables (SIC 26, 30, 36, 37, 60, 55, 87), basic industry (SIC 10, 12, 14, 24, 26, 29, 33), food and tobacco (SIC 1, 2, 9, 20, 21, 54), construction (SIC 15, 16, 17, 32, 52), capital goods (SIC 34, 35, 38), transportation (SIC 40, 41, 42, 44, 45, 47), unregulated utilities (SIC 46, 48), textiles and trade (SIC 22, 23, 31, 51, 53, 56, 59), services (SIC 72, 73, 75, 76, 80, 82, 87, 89), and leisure (SIC 27, 58, 70, 78, 79). The sample excludes financial companies (SIC 60-69) and regulated utilities (SIC 49).

Industry	Hong Kong	Indonesia	Korea, Rep. of	Malaysia	Philippines	Singapore	Taiwan	Thailand	Total
Petroleum									
Mean	0.77	0.37	1.76	1.31	1.19	2.29	1.15	1.20	1.51
Median	0.77	0.37	1.50	1.59	1.01	1.40	1.15	1.20	1.20
Consumer durables									
Mean	1.31	0.92	1.30	1.94	1.48	1.59	1.67	1.20	1.40
Median	1.08	0.79	0.99	2.00	1.24	1.29	1.64	1.23	1.18
Basic industry									
Mean	1.63	1.62	1.10	2.00	1.21	1.67	1.69	1.57	1.48
Median	1.47	1.24	0.99	1.78	1.06	1.47	1.34	1.31	1.17
Food and tobacco									
Mean	1.85	1.65	1.10	1.72	1.13	2.16	1.42	1.40	1.55
Median	1.51	1.45	1.01	1.35	0.92	1.88	1.22	1.31	1.24

Table III. Valuations by economy and industry, part 1.

Construction	1.12	1.35	1.13	1.52	1.53	1.19	1.53	1.24	1.32
Mean	1.11	1.38	0.89	1.25	1.18	1.18	1.40	1.02	1.14
Median									
Capital goods	1.35	1.37	1.27	2.13	0.76	1.61	1.44	1.16	1.41
Mean	1.17	1.41	0.91	1.74	0.87	1.58	1.20	1.07	1.17
Median									
Transportation	1.10	1.38	1.46	1.41	1.56	1.56	1.79	1.23	1.37
Mean	1.12	1.26	0.94	1.30	1.56	1.43	1.53	1.22	1.24
Median									
Unregulated utilities	0.94	1.68	1.93	1.89	1.12	1.76	1.94	3.18	1.79
Mean	0.89	1.88	2.08	1.51	1.06	1.51	1.94	1.88	1.42
Median									
Textiles and trade	1.38	1.15	1.11	1.47	1.16	1.40	1.50	1.04	1.27
Mean	1.08	1.02	1.00	1.43	0.97	1.29	1.18	0.85	1.07
Median									
Services	1.07	1.30	2.43	1.94	1.51	1.66	1.50	1.91	1.88
Mean	0.99	1.53	2.34	1.18	1.87	1.58	1.60	1.11	1.36
Median									
Leisure	1.24	1.65	1.68	1.50	1.32	1.53	2.22	1.13	1.43
Mean	1.25	1.68	1.80	1.32	1.32	1.31	2.22	1.21	1.32
Median									
Total	1.31	1.36	1.25	1.70	1.25	1.63	1.59	1.38	1.43
Mean	1.12	1.13	1.00	1.43	1.06	1.36	1.35	1.22	1.19
Median									

Table III. Valuations by economy and industry, part 2.

Read:

- Table III reports market-to-book ratios across economies and industries.
- Firm valuation varies across sectors, with unregulated utilities, services, and leisure having relatively high average valuations.
- Textiles and trade have among the lowest valuations.
- Across economies, Malaysia, Singapore, and Taiwan have relatively high market-to-book ratios, while Korea and the Philippines have lower valuations.

Economic message: because valuation differs across industries and economies, the regression analysis must control for observable firm and industry characteristics before interpreting ownership effects.

6.3 Graphical evidence: incentives and entrenchment

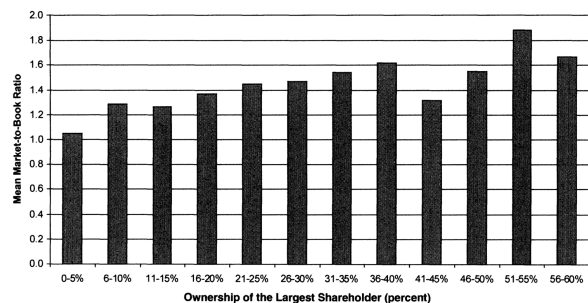


Figure 1. Company valuation and ownership of the largest shareholder in East Asian corporations, 1996.

Figure 1. Company valuation and ownership of the largest shareholder.

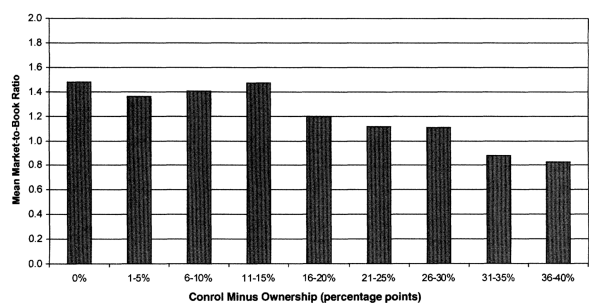


Figure 2. Company valuation and the difference between control and ownership of the largest shareholder in East Asian corporations, 1996.

Figure 2. Company valuation and the control-ownership wedge.

Read:

- Figure 1 shows a generally positive association between market-to-book ratios and the largest shareholder's ownership stake.
- The pattern is not perfectly monotonic, but it is broadly consistent with a positive incentive effect from cash-flow rights.
- Figure 2 shows that valuation tends to fall when control rights exceed cash-flow ownership by more.
- Firms with no separation have the highest valuation; firms with large wedges have the lowest valuation.

Economic message: the graphical evidence already previews the paper's main regression result: cash-flow ownership and excess control have opposite valuation implications.

6.4 Main regression evidence and group-level robustness

Table IV
Regression Results on the Relationship between Firm Value and the Largest Shareholder's Ownership and Control

The regressions are performed using a random-effects (economy-level) specification. Numbers in parentheses are standard errors. The dependent variable is the ratio of the market value of assets to the book value of assets at the end of 1996. Market value is defined as the sum of the market value of common stock and the book value of debt and preferred stock. The book value of assets comes from firms' balance sheets. The main independent variables are the share of cash-flow rights held by the largest shareholder (ownership) and the share of voting rights held by the largest shareholder (control). Control minus ownership is a continuous variable measuring the simple difference between the share of control rights and the share of cash-flow rights in the hands of the largest shareholder. Control exceeds ownership is a dummy equal to one if control rights are higher than cash-flow rights; otherwise, it is zero. Control exceeds ownership, high is a dummy equal to one if control rights are higher than cash-flow rights and if this separation is higher than the median separation in corporations where control and ownership differ; otherwise, it is zero. Sales growth, capital spending over sales, firm age, firm size, and industry dummies (the leisure sector is the numeraire) are included as control variables. The consolidation dummy equals one if the corporation consolidates its financial statements; otherwise, it is zero.

Independent variable	Specification 1	Specification 2	Specification 3
Ownership	0.0073 ^a (0.0020)	0.0073 ^a (0.0020)	0.0080 ^a (0.0020)
Control minus ownership	-0.0103 ^a (0.0033)	-0.0103 ^a (0.0033)	
Control exceeds ownership			-0.0234 (0.0621)
Control exceeds ownership, high			-0.1260 ^a (0.0552)
Sales growth	0.5568 ^a (0.1145)	0.5603 ^a (0.1147)	0.5574 ^a (0.1148)
Capital spending over sales	-0.1105 (0.1156)	-0.1100 (0.1157)	-0.1106 (0.1162)
Firm age (years)	0.0005 (0.0012)	0.0005 (0.0012)	0.0007 (0.0012)
Firm size (log of assets)	-0.0476 ^a (0.0135)	-0.0476 ^a (0.0135)	-0.0463 ^a (0.0135)
Consolidation dummy		-0.0260 (0.0467)	
Petroleum	0.1126 (0.1763)	0.1101 (0.1764)	0.1169 (0.1766)
Consumer durables	-0.0601 (0.1042)	-0.0624 (0.1043)	-0.0560 (0.1044)
Basic industry	0.0485 (0.1098)	0.0440 (0.1102)	0.0557 (0.1100)
Food and tobacco	0.0625 (0.1153)	0.0591 (0.1155)	0.0687 (0.1155)
Construction	-0.1313 (0.1100)	-0.1324 (0.1100)	-0.1242 (0.1102)
Capital goods	-0.0498 (0.1172)	-0.0528 (0.1174)	-0.0438 (0.1175)
Transportation	-0.0501 (0.1370)	-0.0491 (0.1371)	-0.0456 (0.1373)
Unregulated utilities	0.3752 ^b (0.1708)	0.3792 ^b (0.1710)	0.3655 ^b (0.1712)
Textiles and trade	-0.2803 ^c (0.1637)	-0.2794 ^c (0.1638)	-0.2806 ^c (0.1641)
Services	0.0873 (0.1835)	0.0861 (0.1836)	0.0834 (0.1839)
Constant	0.8532 (2.4950)	0.8932 (2.4967)	0.4968 (2.4947)
R ²	0.0716	0.0718	0.0685
Number of observations	1,301	1,301	1,301

^a Significant at the 1 percent level; ^b significant at the 5 percent level; ^c significant at the 10 percent level.

Table IV. Firm value, ownership, and control.

Table V
Regression Results on the Relationship between Firm Value and the Largest Shareholder's Ownership and Control, by Business Group

The regressions are performed using a random-effects specification in which all observations within a business group are collapsed into one observation. Stand-alone corporations are treated as separate observations, that is, each is viewed as its own business group. Specifications 1 and 2 are run on the median value within each business group for both the dependent and independent variables. In specifications 3 and 4, the business group observations are reached by weighting each group affiliate observation by its assets as a share of the group's total assets. Numbers in parentheses are standard errors. The dependent variable is the ratio of the market value of assets to the book value of assets at the end of 1996. Market value is defined as the sum of the market value of common stock and the book value of debt and preferred stock. The book value of assets comes from firms' balance sheets. The main independent variables are the share of cash-flow rights held by the largest shareholder (ownership) and the share of voting rights held by the largest shareholder (control). Control minus ownership is a continuous variable measuring the simple difference between the share of control rights and the share of cash-flow rights in the hands of the largest shareholder. Control exceeds ownership is a dummy equal to one if control rights are higher than cash-flow rights; otherwise, it is zero. Control exceeds ownership, high is a dummy equal to one if control rights are higher than cash-flow rights and if this separation is higher than the median separation in corporations where control and ownership differ; otherwise, it is zero. Sales growth, capital spending over sales, firm age, firm size, and industry dummies (the leisure sector is the numeraire) are included as control variables.

Independent Variable	Specification 1	Specification 2	Specification 3	Specification 4
Ownership	0.0077 ^a (0.0024)	0.0079 ^a (0.0023)	0.0070 ^a (0.0024)	0.0072 ^a (0.0025)
Control minus ownership	-0.0109 ^a (0.0045)	-0.0211 (0.0542)	-0.0095 ^a (0.0046)	
Control exceeds ownership		-0.1416 ^a (0.0627)		-0.0178 (0.0517)
Control exceeds ownership, high				-0.1387 ^a (0.0583)
Sales growth	0.6494 ^a (0.1452)	0.6502 ^a (0.1453)	0.6404 ^a (0.1453)	0.6411 ^a (0.1462)
Capital spending over sales	-0.1297 (0.1307)	-0.1292 (0.1303)	-0.1418 (0.1315)	-0.1422 (0.1318)
Firm age (years)	0.0006 (0.0016)	0.0006 (0.0016)	0.0005 (0.0016)	0.0005 (0.0016)
Firm size (log of assets)	-0.0277 ^a (0.0160)	-0.0275 ^a (0.0159)	-0.0260 ^a (0.0160)	-0.0265 ^a (0.0161)
Constant	0.4410 (3.2895)	0.4457 (3.2901)	0.5200 (3.2462)	0.5215 (3.2445)
R ²	0.0392	0.0398		0.0408
Number of observations	872	872	872	872

^a Significant at the 1 percent level; ^b significant at the 5 percent level; ^c significant at the 10 percent level.

Table V. Firm value, ownership, control, and business groups.

Read:

- Table IV is the core result. The ownership coefficient is positive and significant: more cash-flow ownership by the largest shareholder is associated with higher firm value.
- The control-minus-ownership coefficient is negative and significant: a larger wedge is associated with lower firm value.

- A large wedge dummy is also negative and significant. The paper reports that the median separation among firms with a wedge is 15.1 percentage points.
- The economic magnitudes are meaningful. The paper reports that a one-standard-deviation increase in ownership raises the market-to-book ratio by about 0.091, while a one-standard-deviation increase in the wedge lowers it by about 0.076.
- Table V collapses firms in the same business group into one observation and obtains similar results.

Economic message: the baseline evidence supports both hypotheses. Large shareholders provide incentives when they hold cash-flow rights, but they destroy value when they obtain control in excess of those cash-flow rights.

6.5 Country-level and owner-type evidence

Table VI
Regression Results on the Relationship between Firm Value and the Largest Shareholder's Ownership and Control, by Economy

The regressions are performed on each economy sample using an ordinary least squares specification. Numbers in parentheses are standard errors. The dependent variable is the ratio of the market value of assets to the book value of assets at the end of 1996. Market value is defined as the sum of the market value of common stock and the book value of debt and preferred stock. The book value of assets comes from firms' balance sheets. The main independent variables are the share of cash-flow rights held by the largest shareholder (ownership) and the share of voting rights held by the largest shareholder (control). Control minus ownership is a continuous variable measuring the simple difference between the share of control rights and the share of cash-flow rights in the hands of the largest shareholder. Sales growth, capital spending over sales, firm age, and firm size are included as control variables but are not reported. Industry dummies are not included, given the smaller sample size at the economy level.

Economy	Constant	Ownership	Control Minus Ownership	R ²	Number of Observations
Hong Kong	1.4429 ^a (0.1877)	0.0088 ^a (0.0037)	-0.0181 ^b (0.0083)	0.0502	225
Indonesia	0.9852 ^a (0.2827)	0.0252 ^a (0.0072)	-0.0133 ^a (0.0059)	0.1583	132
Korea, Rep. of	1.1871 ^a (0.1429)	0.0268 ^a (0.0063)	-0.0038 (0.0107)	0.0675	281
Malaysia	2.0198 ^a (0.2743)	0.0084 ^b (0.0043)	-0.0201 ^c (0.0109)	0.0364	171
Philippines	1.5051 ^a (0.2694)	0.0051 (0.0091)	-0.0019 (0.0204)	0.0056	77
Singapore	2.3004 ^a (0.2237)	-0.0111 ^c (0.0068)	-0.0090 (0.0115)	0.0153	176
Taiwan	2.1297 ^a (0.2113)	-0.0070 (0.0086)	-0.0118 (0.0152)	0.0084	129
Thailand	1.2455 ^a (0.3839)	0.0130 ^a (0.0057)	-0.0190 ^c (0.0105)	0.0389	110

Table VI. Firm value, ownership, and control by economy.

Table VII
Regression Results on the Relationship between Firm Value and the Largest Shareholder's Ownership and Control, by Owner Type

The regressions are performed using a random-effects specification. Numbers in parentheses are standard errors. A corporation is family owned if the largest ultimate shareholder is a family group, state owned if the largest shareholder is the state, and company owned if the largest shareholder is a widely held corporation or financial institution. The dependent variable is the ratio of the market value of assets to the book value of assets at the end of 1996. Market value is defined as the sum of the market value of common stock and the book value of debt and preferred stock. The book value of assets comes from firms' balance sheets. The main independent variables are the share of cash-flow rights held by the largest shareholder (ownership) and the share of voting rights held by the largest shareholder (control). Control minus ownership is a continuous variable measuring the simple difference between the share of control rights and the share of cash-flow rights in the hands of the largest shareholder. Control exceeds ownership is a dummy equal to one if control rights are higher than cash-flow rights; otherwise, it is zero. Control exceeds ownership, high is a dummy equal to one if control rights are higher than cash-flow rights and if this separation is higher than the median separation in corporations where control and ownership differ; otherwise, it is zero. Sales growth, capital spending over sales, firm age, firm size, and industry dummies are included as control variables but are not reported.

Independent Variable	Family		The State		Widely Held Corporation or Financial Institution	
	Specification 1	Specification 2	Specification 3	Specification 4	Specification 5	Specification 6
Ownership	0.0086 ^b (0.0026)	0.0084 ^a (0.0025)	0.0073 (0.0070)	0.0121 ^c (0.0062)	0.0086 ^c (0.0045)	0.0075 ^c (0.0041)
Control minus ownership		-0.0090 ^a		-0.0247 ^c		-0.0189

Table VII. Firm value and owner type, part 1.

Read:

- Table VI estimates the basic specification economy by economy.
- Ownership is positively related to valuation in six of eight economies and statistically significant in most of those cases.
- The control-ownership wedge is negative in all eight economies and statistically significant in several of them, including Hong Kong, Indonesia, Malaysia, and Thailand.
- Table VII begins the owner-type split. The strongest evidence is for family-controlled firms, where ownership is positive and the wedge is negative.

Economic message: the findings are not driven by only one economy. The evidence is especially consistent with family control creating both incentive benefits and entrenchment costs.

6.6 Owner-type continuation and mechanisms of separation

Control exceeds ownership	-0.0494 (0.0722)	0.1218 (0.1845)	0.1086 (0.1816)
Control exceeds ownership, high	-0.0342 (0.0828)	-0.4908* (0.2264)	-0.3685 (0.3331)
Sales growth	0.6621* (0.1341)	0.1833 (0.1241)	0.1847 (0.1346)
Capital spending over sales	-0.1370 (0.1334)	-0.0043 (0.4329)	-0.0353 (0.4341)
Firm age (years)	0.0011 (0.0014)	0.0061 (0.0047)	0.0043 (0.0050)
Firm size (log of assets)	-0.0358* (0.0160)	-0.0373* (0.0165)	0.0512 (0.0483)
Constant	-0.6068 (2.8349)	-1.1551 (2.8243)	-7.1443 (9.4312)

Insisting and Entrenchment

Table VIII
Regression Results on the Relationship between Firm Value and Pyramiding,
Cross-Holdings, and Dual-Class Shares

The regressions are performed using a random-effects specification. Numbers in parentheses are standard errors. Pyramid is a dummy equal to one if the firm is part of a pyramid structure; otherwise, it is zero. Crosshold is a dummy equal to one if the firm is controlled (at least partly) by a cross-holding; otherwise, it is zero. Dualclass is a dummy equal to one if the firm has issued dual-class shares; otherwise, it is zero. The dependent variable is the ratio of the market value of assets to the book value of assets at the end of 1996. Market value is defined as the sum of the market value of common stock and the book value of debt and preferred stock. The book value of assets comes from firms' balance sheets. The main independent variables are the share of cash-flow rights held by the largest shareholder (ownership) and the share of voting rights held by the largest shareholder (control). Sales growth, capital spending over sales, firm age, firm size, and industry dummies are included as control variables but are not reported.

Independent Variable	Specification 1	Specification 2	Specification 3	Specification 4
Ownership	0.0119* (0.0020)	0.0095* (0.0020)	0.0118* (0.0020)	0.0091* (0.0020)
Pyramid dummy	-0.0571 (0.1365)			-0.0136 (0.0524)
Crosshold dummy		-0.0332 (0.0507)		-0.0077 (0.0732)
Dualclass dummy			-0.0468 (0.0703)	-0.1595 (0.1360)
Sales growth	0.5754* (0.1138)	0.5683* (0.1145)	0.5778* (0.1137)	0.5622* (0.1149)
Capital spending over sales	-0.1149 (0.1157)	-0.0897 (0.1151)	-0.1152 (0.1157)	-0.0862 (0.1153)
Firm age (years)	0.0012 (0.0012)	0.0009 (0.0012)	0.0011 (0.0012)	0.0008 (0.0012)
Firm size (log of assets)	-0.0312* (0.0136)	-0.0499* (0.0134)	-0.0314* (0.0136)	-0.0420* (0.0134)
Constant	-0.7902 (2.4572)	-0.0173 (2.4722)	-0.7560 (2.4576)	0.1212 (2.4780)
R ²	0.0474	0.0480	0.0467	0.0491
Number of observations	1,301	1,301	1,301	1,301

* Significant at the 1 percent level; * significant at the 5 percent level.

Table VII. Firm value and owner type, part 2.

Table VIII. Pyramiding, cross-holdings, and dual-class shares.

Read:

- The continuation of Table VII shows that the owner-type results are weaker for state control and for widely held corporations or financial institutions.
- The paper interprets this as evidence that family control, and to some extent state control, drive the main valuation discount.
- Table VIII adds dummies for pyramiding, cross-holdings, and dual-class shares.
- These dummies are negative but not individually statistically significant.
- The ownership coefficient remains positive and significant even after adding these mechanisms.

Economic message: the value discount appears to come from the separation of control from cash-flow rights itself, rather than from one specific legal or organizational mechanism.

7 Key mechanisms and interpretation

7.1 Why cash-flow rights can increase firm value

Cash-flow ownership makes controlling shareholders internalize more of the gains from better management. Higher cash-flow stakes therefore reduce the incentive to divert resources away from the firm and increase the incentive to monitor managers.

7.2 Why excess control can reduce firm value

When control rights exceed cash-flow rights, the controlling shareholder can make decisions while bearing only a fraction of the economic cost. This wedge encourages private-benefit extraction, tunneling, or related-party transfers that harm minority shareholders.

7.3 Why East Asia is informative

The setting matters because many East Asian firms have pyramidal ownership chains and family control. These structures produce variation in cash-flow rights and voting control that is difficult to observe in U.S. firms, where ownership is typically more dispersed.

8 Limitations

- **Cross-sectional design.** The main results are based on 1996 cross-sectional valuation differences, so causal interpretation requires caution.
- **Measurement of ultimate ownership is difficult.** Some important group firms are unlisted, which can lead to understatement of ultimate ownership and control.
- **Market-to-book is an imperfect value measure.** Replacement-cost data are unavailable, so the paper uses book assets rather than full Tobin's q .
- **Exact extraction mechanism is not identified.** The paper shows a valuation discount from the control-ownership wedge, but it cannot pin down whether the channel is tunneling, transfer pricing, cross-subsidization, inefficient investment, or another private-benefit mechanism.
- **Country institutions differ.** Investor protection, disclosure, and enforcement vary across the eight economies, which can affect the strength of the ownership-value relation.

9 Short summary

Claessens, Djankov, Fan, and Lang study 1,301 publicly traded corporations in eight East Asian economies to separate the incentive and entrenchment effects of large shareholders. They find that firm value rises with the cash-flow ownership of the largest shareholder, consistent with an incentive alignment effect. But firm value falls when the largest shareholder's control rights exceed cash-flow ownership, consistent with entrenchment and minority-shareholder expropriation. The evidence is robust to business group adjustments, appears in many individual economies, and is strongest for family-controlled firms.

10 Conclusion

The paper's main lesson is that concentrated ownership has two opposing effects. When control is backed by cash-flow ownership, large shareholders have incentives to raise firm value. When control exceeds cash-flow ownership, large shareholders can become entrenched and extract private benefits. The value of East Asian firms reflects both forces, and the market appears to discount firms in which control rights are separated from cash-flow rights.